



TILA-RESPA Integrated Disclosure Rule (TRID) FAQs

This document is intended to clarify common questions and concerns specifically related to the TILA-RESPA Integrated Disclosure (TRID) rule which applies to all loan applications taken on or after October 3, 2015. This document does not address the entire TRID rule, rather it focuses on the changes that were made and how to best utilize Flagstar and our systems to most appropriately comply with the regulation. For a more in depth look at our procedures regarding TRID, please reference *Compliance*, [Doc. #4801](#). It is important to remember that Flagstar's guidelines and these FAQs do not constitute legal advice.

GENERAL

WHAT IS THE LOAN ESTIMATE (LE)?

The LE is the initial disclosure that is replacing the GFE (Good Faith Estimate) and TIL (Truth In Lending disclosure) that is required to be provided within 3 business days of receiving an application.

WHAT IS THE CLOSING DISCLOSURE (CD)?

The CD replaces the final TIL and HUD-1 Settlement Statement that will be required to be received by the borrower(s) at least 3 business days before consummation.

WHEN DID TRID BECOME EFFECTIVE?

TRID is effective for applications, under the revised definition, received by the creditor on or after October 3, 2015.

WHAT IS AN "APPLICATION" FOR PURPOSES OF ISSUING A LE?

TRID revises the definition of an application to be when the creditor receives the (1) consumers name, (2) consumers monthly income, (3) consumers SSN, (4) property address, (5) estimated property value and (6) estimated mortgage loan amount sought. On broker/table funded transactions, Flagstar considers the application date to be the date it receives these six pieces of information from the originator in Loantrac.

WHAT IS "CONSUMMATION" FOR PURPOSE OF TRID DISCLOSURES?

TRID specifically defines consummation as the time the borrower becomes contractually obligated to the creditor on the loan (not for example when the consumer becomes obligated to a seller on a real estate transaction). Flagstar will consider consummation the date the borrower signs the Note and Security Instrument (i.e. Mortgage or Deed of Trust). In escrow states, the consummation date observed for TRID will often occur prior to the settlement or disbursement date.

WHAT IS THE DEFINITION OF A "BUSINESS DAY" WITH RESPECT TO THE LE AND CD TIMING REQUIREMENTS?

For purposes of providing the LE, a "business day" is a day on which the creditor's offices are open to the public for carrying out substantially all of its business functions. On broker/table funded transactions, Flagstar does not consider Saturday, Sunday or legal public holidays (per 5 U.S.C. 6103(a)) as business days for purposes of providing the initial LE. Correspondents must determine their own definition to ensure proper delivery of the LE.

For purposes of providing the CD, a "business day" means all calendar days except Sundays and legal public holidays. This definition also applies for purposes of providing a revised LE at least four business days prior to consummation.



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IF EITHER AN LE OR CD IS ISSUED TO THE BORROWER(S), AM I OBLIGATED TO MAKE THE LOAN?

Neither the LE nor the CD mandates an obligation to make a loan. The borrower(s) must continue to qualify for the loan according to the creditor's guidelines.

WILL FLAGSTAR ISSUE AN LE FOR TBD PROPERTIES?

No, since property address is one of the six items which define an application under the TRID rule, an LE is not required to be issued prior to receiving that item. In lieu of an LE, originators may issue a Fee Worksheet. TBD (location to be determined) properties that were submitted to Flagstar prior to October 3rd, 2015 which subsequently have a property added via executed purchase agreement will be considered TRID-eligible and will require an LE to be issued in lieu of GFE/TIL.

Correspondents may choose to issue the LE prior to receipt of all six items, however they will be bound by that LE regardless if they receive a property address later. Flagstar will not consider the addition of property address as a valid change of circumstance to issue a revised LE.

CAN YOU REQUIRE DOCUMENTATION FROM THE BORROWER PRIOR TO ISSUING LE?

Regulation Z prohibits the collection of any documentation to verify information contained on the revised definition of an application prior to providing the LE.

CAN I GIVE THE BORROWER A WRITTEN ESTIMATE OR FEE WORKSHEET?

Yes. A written estimate of terms or costs (pre-application estimate) is authorized to be given by the originator prior to providing the LE, provided it includes the statement required by the rule in a font size that is no smaller than 12-point and does not have any headings/format that are substantially similar to the LE. Please refer to *Compliance*, [Doc. #4801](#) for more information.

CAN I CHARGE A FEE PRIOR TO ISSUING LE?

Yes, but only a bona fide and reasonable fee for obtaining a credit report. No other fees may be imposed on or incurred by the borrower in connection with the application until they have 1) received the LE and 2) indicate their intent to proceed. Furthermore, if the originator pays the fee in anticipation of collecting it after receipt of the disclosure by the consumer and provided intent to proceed, or at the loan closing, it may be construed as being "imposed on" or "incurred by" the consumer prior to receipt of the disclosure and providing their intent to proceed even if the payment was not made at that time.

HOME LOAN TOOLKIT

Brokers and correspondents will be required to provide a copy of the [Home Loan Toolkit](#) to borrower(s) who apply for a consumer credit transaction secured by real property and must be delivered or placed in the mail no later than three business days after they receive the borrower's loan application.

INVESTMENT PROPERTIES

Flagstar will enforce TRID on all Investment properties.

LOAN ESTIMATE (LE)

WHO WILL CREATE AND DELIVER THE INITIAL LE?

Flagstar will create and send the LE on all broker/table funded loans within 3 business days of receiving the application from the originator in Loantrac. As the creditor, correspondents will be responsible for proper creation and delivery of the LE.



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For purposes of providing the LE, a “business day” is a day on which the creditor’s office are open to the public for carrying out substantially all of its business functions. On broker/table funded transactions, Flagstar does not consider Saturday, Sunday or legal public holidays (per 5 U.S.C. 6103(a)) as business days for purposes of providing the LE. Correspondents must determine their own definition to ensure proper delivery of the LE.

CAN CREDITORS CREATE THEIR OWN VERSION OF THE LE?

No, the form provided by the CFPB cannot be altered.

BESIDES THE GFE/TIL ARE THERE ANY OTHER DISCLOSURES THAT ARE BEING REPLACED BY THE LE?

Yes, the LE contains information about the sale of servicing and right to receive a copy of the appraisal report. Therefore for loans in which an LE has been sent to the borrower in a timely manner, Flagstar will no longer require copies of the Sale of Servicing Disclosure, or the *Notice of Right to Receive Copy of Appraisals*, [Doc. #3248](#). However please note that if the borrower waives their right to receive copies of appraisals/valuations at least 3 business days prior to closing, the waiver must be captured on a separate disclosure and signed by the primary borrower since the waiver language cannot be added to the LE.

IN ADDITION TO THE LE, WILL FLAGSTAR SEND ALL APPLICATION DISCLOSURES TO THE BORROWER ON BROKER/TABLE FUNDED LOANS?

No, Flagstar will only be providing the LE, Written List of Providers and Intent to Proceed on broker/table funded loans. The originator will still be required to provide all other applicable application disclosures other than the LE according to timing requirements associated with when they (not Flagstar) receive the application. These disclosures include but are not limited to: *Notice to the Home Loan Applicant*, [Doc. #3249](#), Credit Score Disclosure, No Credit Score Disclosure, SSN Verification, [Doc. #3257](#), Patriot Act Information, [Doc. #3243](#), *Notice to Borrower of Property in a Special Flood Hazard Area*, [Doc. #3214](#), ARM disclosures (where applicable), Homeownership Counseling Disclosure, and the Home Loan Toolkit.

HOW DO I REQUEST AN LE TO BE SENT BY FLAGSTAR ON BROKER/TABLE FUNDED LOANS?

Originators will be required to request an LE from Flagstar in the *Disclosure Management* module promptly once the six pieces of information which constitutes an application are provided to Flagstar at registration or later. Flagstar will review and verify information, including requesting additional information from the originator, prior to delivering the LE to the primary borrower.

If the LE hasn’t been requested within 18 business hours of receipt of an application, Flagstar will automatically request the LE with the best information available, but may still request additional data from the originator prior to sending.

HOW DOES FLAGSTAR SEND THE LE TO THE BORROWER?

Electronic delivery of the disclosures is Flagstar’s preferred method of delivery. However, in order to take advantage of this, it is crucial that we obtain the borrower(s) consent early in the process. Once a borrower(s) email address is present in either the Loantrac 1003 page or input in the *Disclosure Management* module, we will send an invitation email to the borrower(s) requesting their electronic consent. Once they have successfully consented, we may send any LE (as well as any CD and appraisals/valuations) to them electronically. To resend an electronic consent email to borrower(s), go to Disclosure Management, delete borrower email addresses that need to be resent, then re-input email address again and save; consent email will be sent again upon save. Flagstar will no longer accept the *Electronic Disclosure Notice*, [Doc. #3264](#) to verify consent.



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In cases where Flagstar does not receive electronic consent, we mail hard copies. If the borrower(s) electronically consent after disclosure have been mailed, borrower(s) will have access to view the documents previously sent via mail.

WHO SHOULD RECEIVE THE LE IF THERE ARE MULTIPLE BORROWERS?

If there is more than one borrower, the LE may be provided to any borrower who is primarily liable on the loan. If one of the borrowers is a co-signer or guarantor, the LE should be sent to the primary borrower. Conversely the CD must be provided to every borrower that has the right to rescind on rescindable transactions, including any non-obligated borrower(s). Regardless of who will receive initial disclosures it is a best practice to obtain email address from all borrowers and capture electronic consent early in the loan process. If co-borrowers share an email account, you should enter that email address for each borrower.

WILL THE ORIGINATOR RECEIVE COPIES OF ALL DISCLOSURES SENT TO THE BORROWER?

Copies of all disclosures sent to the borrower are viewable in *Paperless File Manager*. Flagstar loan alerts have also been expanded to include TRID statuses so customers are aware when disclosures are sent and received (if borrower is viewing them electronically).

DOES THE LE HAVE TO BE RECEIVED BY THE BORROWER WITHIN THREE DAYS OF APPLICATION, OR JUST SENT?

The initial LE must be sent within 3 business days of loan application. The initial LE must also be sent no later than 7 business days before consummation. Flagstar does not consider Saturday, Sunday or legal public holidays (per 5 U.S.C. 6103(a)) as business days for purposes of providing the initial LE.

However, the final LE must be received no later than 4 business days prior to consummation. For this requirement the rule considers all calendar days except Sundays and legal public holidays as business days.

CAN THE BORROWER WAIVE THE SEVEN-BUSINESS DAY WAITING PERIOD PRIOR TO CONSUMMATION?

THE TRID RULE ALLOWS FOR WAIVER IF THE CONSUMER HAS A BONA FIDE PERSONAL FINANCIAL EMERGENCY. THE HARDSHIP LETTER FROM THE CONSUMER ESTABLISHING THE BONA FIDE FINANCIAL EMERGENCY MUST BE IN WRITING AND HAVE THE APPROVAL OF THE NATIONAL SALES MANAGER OF THE TPO BUSINESS CHANNEL. WRITTEN HARDSHIP LETTER AND NATIONAL SALES MANAGER APPROVAL WILL THEN BE SUBMITTED TO THE FULFILLMENT SENIOR MANAGER FOR REQUESTING IT CHANGES FOR THE APPLICATION OF THE WAIVER.

IS A CORRESPONDENT LOAN INELIGIBLE FOR PURCHASE BY INVESTORS IF AN INITIAL LE WAS DELIVERED TO THE BORROWER OUTSIDE OF THE THREE BUSINESS DAYS AFTER APPLICATION?

Flagstar will not purchase any loan that did not meet the LE delivery requirements based on the documentation provided to Flagstar during its pre-purchase review.

WHAT HAPPENS IF AN LE HAS ALREADY BEEN ISSUED TO THE BORROWER BY THE ORIGINATOR OR ANOTHER CREDITOR?

The spirit of the TRID rule is for the borrower to use the LE as a shopping tool. As such it may be common for the borrower to be issued multiple LE disclosures. Brokers should not provide Flagstar with copies of any other LE provided to the borrower, whether by or on behalf of another creditor. As the creditor, Flagstar will issue its LE within 3 business days of receiving the application being submitted by the broker.



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WHAT ARE THE TOLERANCES UNDER TRID VS. RESPA?

Creditors are responsible for ensuring that figures in the LE are made in “good faith” and consistent with the best information reasonably available at the time they are disclosed.

CHARGES THAT CANNOT INCREASE AT SETTLEMENT AT ALL (0% TOLERANCE)

- Fees paid to the creditor, mortgage broker, or an affiliate of either;
- Fees paid to an unaffiliated third party if the creditor did not permit the borrower to shop for a third-party service provider for a settlement service; or
- Transfer taxes, if paid by borrower

CHARGES THAT CAN INCREASE UP TO 10%

Charges for third-party services and recording fees paid by or imposed on the borrower are grouped together and subject to a 10% cumulative tolerance. The creditor may charge the consumer more than the amount disclosed on the LE for any of these charges so long as the total sum of the charges added together does not exceed the sum of all such charges disclosed on the LE by more than 10%. These charges include the following:

- Recording fees
- Charges for third-party services where
 - The charge is not paid to the creditor or the creditors affiliate; and
 - The consumer is permitted by the creditor to shop for the third-party service, and the consumer selects a third-party service provider on the creditor’s written list of service providers.

CHARGES THAT CAN CHANGE AT SETTLEMENT (NO TOLERANCE)

For certain costs or terms, creditors are permitted to charge consumers more than the amount disclosed on the LE without any tolerance limitation. These charges are:

- Prepaid interest; property insurance premiums; amounts placed into an escrow, impound, reserve or similar account
- For services required by the creditor if the creditor permits the borrower to shop and the borrower selects a third-party service provider not on the creditors written list of service providers.
- Charges paid to a third-party service provider for services not required by the creditor (may be paid to affiliates of the creditor).

DOES A WRITTEN LIST OF PROVIDERS NEED TO BE PROVIDED WITH LE?

If the creditor permits the borrower to shop for a settlement service, they must provide the borrower with a Written List of Providers for which the borrower can shop.

On broker/table funded transactions, Flagstar will issue a Written List of Providers to the borrower along with the LE. Originators may not issue their own list.

When requesting an LE in Loantrac, originators will be asked to input all fees and providers for settlement services into the Fee Summary screens. Flagstar will disclose the LE using a quote from one of our national preferred settlement agents to ensure the accuracy of quoted fees.



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A credit report fee must be input on all loans. Originators that do not want the charge to be paid by the borrower will need itemize lender credits for this fee line.

Additional fees for services known by the originator at the time of application must also be input into Fee Summary screen, including but not limited to survey, pest inspection, well/septic, owner's title, etc. Services should only be input into Section C if they are required for the transaction, i.e. disclosed in the purchase agreement or required by local/state law. Optional services the borrower may choose should be input into Section H or excluded. For Texas properties, originators must input a fee for Texas attorney review.

For cooperative properties, please note that Flagstar requires the use of an approved settlement agent listed on *Approved Settlement Agents for Cooperatives*, [Doc. #4641](#) and therefore the borrower cannot shop for those services. A Written List of Providers will only be issued to the borrower(s) on cooperatives for any additional services entered such as survey, pest inspections etc.

On correspondent transactions, if a Written List of Providers is not present in the file, Flagstar will condition for one prior to conducting compliance testing. If a list is not provided, all tolerance testing will be conducted as if the borrower was not allowed to shop (i.e. 0% tolerance).

IF FLAGSTAR IS QUOTING ITS NATIONAL PREFERRED SETTLEMENT AGENTS WHEN ISSUING THE LE, WILL THE BROKER AND/OR BORROWER STILL BE ABLE TO USE THE TITLE COMPANY, CLOSING ATTORNEY OR ESCROW AGENT CHOSEN BY THEM OR THE SELLER?

Yes. Regardless of which service provider is quoted on the LE, the settlement agent that is used to close the loan can be selected by either the broker, borrower or seller (depending on the type of transaction and language in the purchase agreement). Please note that if a settlement agent is chosen that differs from the national agent used to quote the LE and provided on the Written List of Providers, then the settlement charges become no tolerance because the borrower selected a provider off-list.

DO I NEED TO GET THE BORROWER'S INTENT TO PROCEED (ITP)?

Yes, on broker/table funded transactions, an ITP disclosure will be issued by Flagstar along with the LE. TRID requires the borrowers' intent to proceed before any fee can be imposed upon the borrower, with the exception of a bona fide and reasonable fee for obtaining a credit report.

Flagstar will require the ITP be signed by the primary borrower after they receive the LE (or are presumed to have received under the mailbox rule), which will show as the "LE Borrower Review" date in Disclosure Management list of dates. If the borrower has not provided consent for electronic delivery, the disclosures will be print and mailed and the mailbox rule will apply, which requires 3 business days before ITP can be signed. However, if the borrower subsequently consents to electronic delivery they will have an opportunity to view the LE electronically, at which point the LE Received Date will update allowing earlier ITP signature than mailbox rule. Flagstar will not allow LE to be printed from Loantrac and presented to the borrower in order to obtain an ITP signature earlier than that allowed by the mailbox rule or electronic receipt recorded in Loantrac. The Intent to Proceed must be signed by the borrower on or after the "LE Borrower Review" date.

The ITP may be ink-signed or e-signed. Originators may use their own ITP form in lieu of Flagstar's provided it has similar language. The signed ITP must be uploaded to Flagstar via Single Doc Upload (users should not use Multiple Doc Upload because it will create unnecessary UW touch).



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WHY ISN'T THE APPRAISAL MANAGEMENT LINK AVAILABLE IN LOANTRAC AFTER REGISTRATION?

On broker/table funded transactions, the Appraisal Management link will not be available to order an appraisal until Flagstar verifies the executed ITP. Please note this also means that originators should not charge or obtain information to be able to charge the consumer for the appraisal prior to confirming the executed ITP. Originators will be required to enter in the ITP date in the *Disclosure Management* module by clicking on List Display, then upload the signed IPT via Single Doc Upload (users should not use Multiple Doc Upload because it will create an unnecessary UW touch). Flagstar will then verify the information and users will have access to order the appraisal.

CAN I SUBMIT MY FILE TO UNDERWRITING PRIOR TO REQUESTING AN LE?

No, prior to underwriting submission users will need to do the following in Loantrac: 1) run AUS, 2) order flood cert, 3) run NMLS validation, 4) request LE in *Disclosure Management* module, and 5) have LE sent by Flagstar's Disclosure Management team. Note: LE must be sent by Flagstar—not just requested--- to ensure no suspense conditions regarding the LE remain prior to loan being submitted to Submission Review. The sole exception is for TBD properties, which will not require an LE to be requested since a complete application as defined under TRID does not exist.

WILL MY BROKER COMPENSATION BE DISCLOSED ON THE LE OR CD?

On broker/table funded transactions, only Borrower-Paid compensation will be disclosed on the LE. Lender-Paid (i.e. Flagstar-Paid) compensation cannot be disclosed on the LE, except if the originator is using discount points (i.e. fee for lower rate selected) to finance a portion of the Lender-Paid compensation only the portion being charged to borrower will be shown as "points" in Section A. Both Borrower-Paid and Lender-Paid compensation must be disclosed on the CD.

HOW WILL FLAGSTAR CALCULATE CASH TO CLOSE?

On broker/table funded transactions, Flagstar UW will use the information from 1003 data in Loantrac, which is updated throughout the loan cycle.

WHAT FIGURES WILL BE USED IN THE CASH TO CLOSE CALCULATION TABLE WHEN COMPARING LE AND FINAL CD (I.E. LOWEST CLOSING COSTS, MOST RECENT OR INITIAL LE?)

Flagstar will use the last disclosed LE and compare it with the current figures on the CD.

WILL FLAGSTAR BE RUNNING THE NMLS TEST PRIOR TO GENERATING THE LE?

No, the NMLS test is separate; however, the originator will continue to run this test in Loantrac prior to submission to Flagstar Underwriting.

WILL UNDERWRITING CHECK ESTIMATED CLOSING COSTS ON THE LE AND COMPARE IT TO DETAILS OF TRANSACTION ON THE 1003 FOR CORRESPONDENT LOANS?

No, Underwriting will continue to utilize the details of transaction on the 1003 application to determine the closing costs.

WILL FLAGSTAR REQUIRE A SIGNATURE ON THE LE?

A signature is not required on the LE, however it will be required on the Intent to Proceed.

HOW DOES THE CFPB PROVIDE GUIDANCE ON WHICH FEES TO INCLUDE IN THE APR CALCULATION (A GENERIC PREPAID FINANCE CHARGE LIST)?

APR effective fees were not changed by TRID and remain the same. Please see *Truth in Lending Disclosures and APR Calculations*, [Doc. # 4607](#) for our list of APR effective fees.



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HOW DOES FLAGSTAR RECOMMEND ORIGINATORS OBTAIN THE MOST ACCURATE SETTLEMENT CHARGES FOR THE PURPOSE OF DISCLOSING THEM ON THE LE?

Flagstar will obtain a title fee quote and use the fee amounts from the title quote on the LE.

HOW SHOULD PROPERTY INSPECTION WAIVERS (PIW) BE DISCLOSED ON THE LE?

Going forward, Flagstar will be charging all PIWs as a loan-level price adjustment in lieu of charging as a fee to the borrower on the LE. The negative price adjustment will be calculated by dividing the \$75 PIW charge by the gross loan amount and be applied to loan pricing once PIW is approved by Underwriting.

HOW SHOULD OWNER'S TITLE BE DISCLOSED ON THE LE?

Owner's title is now an optional fee and is not required to be disclosed on the LE. Please note that owners title insurance will be subject to no tolerance limitation under TRID (unlike RESPA where it was subject to 0% tolerance).

Under TRID there are specific requirements for disclosing the full cost of the lender's title policy, therefore any simultaneous issuance discount needs to be reflected in the owner's title policy amount as follows:

- Lender's - disclose full cost of lender's policy (without discount);
- Owner's - take the simultaneous issuance cost of both policies and subtract the full lender's premium, i.e. net incremental cost of purchasing the owner's policy.

HOW WILL FLAGSTAR DISCLOSE CREDITS ON THE LE?

On broker/table funded transactions, Flagstar will disclose all credits (seller, lender and other) as lump sums and not reduce APR.

CHANGED CIRCUMSTANCE

HOW DID THE DEFINITION OF CHANGED CIRCUMSTANCES CHANGE UNDER TRID?

Changed circumstances for the purposes of being able to provide a revised LE are:

- An extraordinary event beyond the control of any interested party or other unexpected event specific to the consumer or transaction;
- Information specific to the consumer or transaction that the creditor relied upon when providing the LE and that was inaccurate or changed after the disclosures were provided; or
- New information specific to the consumer or transaction that the creditor did not rely on when providing the LE.

HOW DO I REQUEST A CHANGE OF CIRCUMSTANCE UNDER TRID?

On broker/table funded transactions, Flagstar's Disclosure Management team will be responsible for monitoring and approving all COC and issuing a revised LE when appropriate. Specific events that occur during the loan process will trigger automated changed circumstances and will be accessible for viewing in the *Disclosure Management* module. Flagstar will review each changed circumstance to determine if the request is an acceptable change and/or if the change requires redisclosure. A revised LE will be sent within 3-business days of the changed circumstance being approved by Flagstar, if applicable. Please note the trigger will be based on when COC is approved, not requested (e.g. loan amount changes will trigger redisclosure when approved by Flagstar underwriter).

After the initial LE is sent to the borrower, users will be required to enter a detailed comment for any fee increases to assist Flagstar in determining if the increase is allowable as a changed circumstance. Please



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see *TILA-RESPA Changed Circumstance Matrix*, [Doc. #4814-A](#) for information on authorized changed circumstances.

IF THE INITIAL LE IS ISSUED WHEN LOAN IS FLOATING, CAN A REVISED LE BE ISSUED WHEN THE RATE IS LOCKED?

Yes, the creditor must provide a revised disclosure no later than three business days after the date the rate is locked with revised interest rate, points, lender credits or any other interest rate dependent charges. These changes can be disclosed on a revised LE or the initial CD provided the interest rate dependent charges are accurate at the time it is given. Please note that an earlier version of TRID required this float to lock revised LE be provided within one business day, however the rule was officially increased in March 2015 to three business days to match the requirements of other changed circumstances.

IS A REVISED LE ISSUED AFTER EVERY CHANGED CIRCUMSTANCE?

Not necessarily. In the case where a valid changed circumstance causes a settlement charge subject to a 10% tolerance to increase, a revised LE can only be issued when the cumulative effect of the changed circumstance results in an increase to the sum of all costs subject to the tolerance by more than a cumulative 10%.

DO CORRESPONDENTS NEED TO HAVE CHANGED CIRCUMSTANCES APPROVED BY FLAGSTAR?

Correspondents will manage their own changed circumstance process as the creditor. Flagstar will only review changed circumstance information during our pre-purchase review, where we may ask for additional documentation to support any revised LE or CD.

WHAT HAPPENS IF THE APPRAISAL COST INCREASES UNEXPECTEDLY AFTER QUOTING THE STANDARD RATE, WOULD THAT BE CONSIDERED A VALID CHANGED CIRCUMSTANCE?

Not necessarily. If the reason for the increase was due to the appraisal quote being for a 1-unit property yet the property was actually 2-unit, that would be a valid changed circumstance because the information relied upon for the initial quote was inaccurate. However, if the appraiser or AMC is charging extra because of location, priority rush or the property being complex, these may not be considered valid changed circumstances. Our Disclosure Management department will review all change of circumstance requests on a case by case basis surrounding appraisal fee increases.

CAN A NEW LOAN NUMBER, NEW APPLICATION AND DISCLOSURES BE PROVIDED IF THE BUSINESS CHANNEL CHANGES?

Yes, if the business channel changes due to product change, Flagstar must issue a new loan number. This is common for originators that act as a Correspondent on conventional loans but as Broker/sponsored originator on FHA loans. Other than channel change due to product change, table funding exceptions will no longer be allowed for Correspondent customers.

CORRESPONDENT TO BROKER/TABLE FUNDED (PRIOR TO UW SUBMISSION)

- Customer to cancel loan in Loantrac which also will cancel the lock if applicable (a comment for the reason is required). Loan will remain in Application Registration status.
- Customer will be required to contact Flagstar's Marketing department to create a new loan and transfer the lock (if applicable) from the old loan to the new loan.
- Customer may issue ECOA notice per their compliance requirements.

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CORRESPONDENT TO BROKER/TABLE FUNDED (AFTER UW SUBMISSION)

- Customer initiates channel change by uploading new 1003 or coversheet in Paperless File Manager for Flagstar Underwriting; or customer cancels the loan by sending the *Loan Cancellation/Withdrawal Form*, [Doc. #3104](#) to Flagstar's Marketing department who in turn communicates to Flagstar UW.
- UW will cancel/withdraw/deny loan based on specific circumstances of the loan.
- Customer will be required to contact Flagstar's Marketing department to create a new loan and transfer the lock (if applicable) from the old loan to the new loan.
- Customer to issue ECOA notice

BROKER/TABLE FUNDED TO CORRESPONDENT (PRIOR TO UW SUBMISSION)

- Customer to cancel loan in Loantrac which also will cancel the lock if applicable (a comment for the reason is required). Loan will remain in Application Registration status.
- Customer will be required to contact Flagstar's Marketing department to create a new loan and transfer the lock (if applicable) from the old loan to the new loan.

BROKER/TABLE FUNDED TO CORRESPONDENT (AFTER UW SUBMISSION)

- Customer initiates channel change by uploading new 1003 or coversheet in Paperless File Manager for Flagstar Underwriting; or customer cancels the loan by sending the *Loan Cancellation/Withdrawal Form*, [Doc. #3104](#) to Flagstar's Marketing department who in turn communicates to Flagstar UW.
- UW will cancel/withdraw/deny loan based on specific circumstances of the loan.
- Customer will be required to contact Flagstar's Marketing department to create a new loan and transfer the lock (if applicable) from the old loan to the new loan.
- Flagstar to issue ECOA notice

ARE CHANGED CIRCUMSTANCES ALLOWED AFTER A CD HAS BEEN PROVIDED TO THE BORROWER?

Yes, however you may not provide a revised LE on or after the date the CD is provided, therefore the CD must be used to reflect any revised charges resulting from a changed circumstance (or other triggering event). On correspondent loans, providing a revised LE on or after a CD is given may result in the loan being ineligible for purchase. The revised CD can be used to reset tolerances (rather than using the last LE) if there are less than four business days between the time the revision was required to be provided pursuant to the trigger event and consummation.

CLOSING DISCLOSURE (CD)

WHO WILL CREATE AND DELIVER THE CLOSING DISCLOSURE?

Flagstar will create and provide the CD on all broker/table funded loans. Customers can request *CD/Closing Services* in Loantrac once loan is in a Final Approve Clear to Close status. All TRID eligible loans must utilize Flagstar Managed Closing Services. Flagstar will not permit other parties such as the settlement agent to create or deliver the CD on broker/table funded loans.

When requesting CD/Closing Services, originators will be asked to provide information about the closing and settlement agent, upload supporting documents for *DOC. #3744* and inform the borrower and settlement agent of the closing date/time.



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As the creditor Correspondents will be responsible for proper creation and delivery of the CD. Although WBCD will still be available for Correspondent loans, it will not contain a CD. Correspondents should consult with their LOS or closing docs provider to coordinate proper creation of the of CD. Correspondents may utilize other parties such as the settlement agent to create and/or deliver the CD on their behalf.

WHEN MUST THE CD BE PROVIDED TO THE BORROWER?

The borrower must receive the CD no later than 3 business days before consummation. For purposes of providing the CD, a “business day” means all calendar days except Sundays and legal public holidays.

If sent via mail or email, the borrower is considered to have received the CD 3 business days after it is delivered or placed in the mail (this is referred to as the “mailbox rule”), meaning that it should be sent at least 6 business days prior to consummation. However, if the creditor has evidence that a CD sent via mail or email is received by the borrower, it may rely on this evidence to supersede the mailbox rule. An example would be electronic receipt.

WHAT IS THE DEFINITION OF CONSUMMATION AS IT RELATES TO THE CD DELIVERY?

TRID specifically defines consummation as the time the borrower becomes contractually obligated to the creditor on the loan (not for example when the consumer becomes obligated to a seller on a real estate transaction). Flagstar will consider consummation the date the borrower signs the Note and Security Instrument (i.e. Mortgage or Deed of Trust). In escrow states, the consummation date observed for TRID will often occur prior to the settlement or disbursement date.

ARE THERE ANY EXCEPTIONS TO THE WAITING PERIOD BETWEEN WHEN THE CD IS RECEIVED AND CONSUMMATION?

The TRID rule allows for waiver if the consumer has a bona fide personal financial emergency. The hardship letter from the consumer establishing the Bona fide Financial Emergency must be in writing and have the approval of the National Sales Manager of the TPO business channel. Written hardship letter and National Sales Manager approval will then be submitted to the Fulfillment Senior Manager for requesting IT changes for the application of the waiver.

HOW WILL FLAGSTAR SEND THE CD TO THE BORROWER ON TABLE FUNDED LOANS?

Electronic delivery of the disclosures is Flagstar’s preferred method of delivery for the CD on broker/table funded loans. Once a borrower(s) email address is present in either the Loantrac 1003 page or input in the Disclosure Management module, we will send an invitation email to the borrower(s) requesting their consent. Once they have successfully consented, we may send the CD (as well as appraisals/valuations) to them electronically. To resend an electronic consent email to borrower(s), go to Disclosure Management, delete borrower email addresses that need to be resent, then re-input email address again and save; consent email will be sent again upon save. In cases where Flagstar does not receive electronic consent, we will be mailing hard copies.

CAN CORRESPONDENTS UTILIZE ELECTRONIC DELIVERY TO DELIVERY THE CD?

Yes, provided they comply with consumer consent and applicable provisions of the Electronic Signatures in Global and National Commerce Act. Correspondents must provide acceptable evidence of electronic receipt by the borrower if they want to override the timing requirements under the mailbox rule.

WHAT IS THE EARLIEST POSSIBLE CLOSING DATE ON TABLE FUNDED LOANS?

The Disclosure Management calendar in Loantrac will display the earliest closing date based on multiple factors and milestones, including the loan being in a Final Approved Clear to Close status. Flagstar will utilize the mailbox rule (3 business days for delivery to the borrower upon being sent) for all CDs. As a



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result, the earliest possible closing date will be calculated as 8 business days--- turn time for Closing Services to create the initial CD (2 business days), plus mailbox rule (3 business days), plus 3 day wait time prior to consummation.

Under certain circumstances for CDs delivered electronically, if Flagstar receives evidence the borrower(s) viewed the CD prior to the 3-day delivery period ending, customers will have a one-time opportunity to request an earlier closing date provided there is availability from the Closing Services Calendar (located in Loan Central) before contacting Closing Services for a reschedule request. Customers can see evidence of the borrower viewing CD as a new loan event alert in Loantrac. However, we caution customers to use this option only when necessary due to the amount of rework likely needed by Closing Services and the settlement agent to adjust the final closing date on short notice.

WHEN IS A NEW 3 DAY WAITING PERIOD REQUIRED PRIOR TO CONSUMMATION?

If one of the following occurs after delivery of the CD and before consummation, the creditor must provide a corrected CD no later than 3 business days before consummation.

- The disclosed APR increases by more than 0.125%. Flagstar will use this measure for both fixed rate and adjustable rate mortgages; we will not be defining any adjustable rate mortgages as "irregular transactions" which carry a 0.25% threshold;
- Changes to the loan product. Flagstar will consider this when moving from a fixed rate to adjustable rate, or vice versa; or
- A prepayment penalty is added. Flagstar currently doesn't offer any product with a prepayment penalty feature.

WILL TABLE FUNDED LOANS HAVE TO USE FLAGSTAR MANAGED CLOSING SERVICES IN LIEU OF WBCD?

Yes, Flagstar Managed Closing Services must be used for all broker/table funded loans covered under TRID. There is no additional fee over and above the standard Admin Fee for using Closing Services. Web-Based Closing Documents (WBCD) will no longer be available on broker/table funded transactions that are TRID-eligible, however WBCD will still be available for pre-TRID loans regardless of when closed.

WILL I HAVE TO STILL REQUEST CLOSING DOCS OR FUNDS IF FLAGSTAR MANAGED CLOSING SERVICES ARE BEING USED?

No. By requesting a CD/Closing Services, Flagstar will automatically prepare the rest of the closing package for delivery to the settlement agent one-day prior to closing. The Flagstar closer will also order the wire to be sent at settlement/closing.

CAN A CD BE REQUESTED ON BROKER/TABLE FUNDED LOANS BEFORE THE LOAN IS FINAL APPROVE CLEAR TO CLOSE?

No, broker/table funded loans must be in a Final Approved Clear to Close status before the *CD/Closing Services* link in Loantrac is available. However it is recommended that customers review to make sure the settlement agent being used for closing is on Flagstar's eligible list, and if not takes steps to request them to be added via *Settlement Agent Setup*, [Doc. #3676](#), to avoid further delays in Closing Services.

HOW CAN I PLAN FOR MY CLOSING DATE?

The Disclosure Management module in Loantrac contains a comprehensive calendar that shows all milestone dates on the loan and calculates an Earliest Closing Date. Flagstar loan alerts have also been expanded to include TRID statuses so customers are aware when disclosures are sent and received (if borrower is viewing them electronically).



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On broker/table funded CDs delivered electronically, if Flagstar receives evidence the borrower(s) viewed the CD prior to the 3-day delivery period ending, customers will have a one-time opportunity to request an earlier closing date provided there is availability from the Closing Services Calendar (located in Loan Central) before contacting Closing Services for a reschedule request. Customers can see evidence of the borrower viewing CD as a new loan event alert in Loantrac.

WILL CORRESPONDENTS STILL BE ABLE TO USE WBCD?

Yes, WBCD will continue to remain available for Correspondent loans, however it will not contain a CD or closing instructions in the package. Correspondents should consult with their LOS or another service provider to coordinate proper creation of the CD and comprehensive closing instructions for the settlement agent.

Flagstar's predatory calculator will no longer run automatically during WBCD for correspondent loans, although correspondents will still have the option to input fees and manually run the predatory calculator. Please note the results will not include TRID variance or APR tolerance testing since we no longer capture that information until loan delivery. Also, Correspondents will be required to enter their loan number as the creditor to be captured on all documents so that it matches the CD.

In the event a bona fide discount fee is being charged to the borrower, we recommend that you input that information in the fee summary page, regardless if you are running predatory calculator or not, so that we can properly exclude the bona fide portion for testing purposes. Alternatively, you may also complete *Correspondent Delivery Worksheet*, [Doc. #3765](#) if you prefer not to provide this information in Loantrac.

WILL CORRESPONDENTS STILL BE REQUIRED TO SUBMIT A FEE WORKSHEET TO FLAGSTAR TO COMPLETE ITS POST CLOSING COMPLIANCE REVIEW?

It is highly recommended, but not required prior to review. If you used the LE to reset tolerances at any time during the origination of the loan, the rounded figures on the revised LE may not accurately reflect the exact tolerance levels for testing. In the event Flagstar does not receive a fee worksheet and tolerance testing is done using the round figures from the LE, any required restitution may be adjusted up to \$1.00 to account for differences due to rounding. You will also be required to disclose dates for the initial LE and date borrower received the latest CD that required a 3-day waiting period. These dates can be input in Disclosure Management prior to delivery or provided via *Correspondent Delivery Worksheet*, [Doc. #3765](#).

WILL CORRESPONDENTS BE REQUIRED TO SUPPLY A WRITTEN LIST OF SERVICE PROVIDERS TO FLAGSTAR?

Not necessarily, however if a Written List of Providers is not present in the Correspondent file, all tolerance testing will be conducted as if the borrower was not allowed to shop (i.e. 0% tolerance).

IF BORROWERS ARE ALLOWED TO SHOP HOW SHOULD THE FEES BE DISCLOSED ON THE CD?

Items the borrower shopped for and chose provider other than those on the Written List of Providers should be listed in Section C of the CD with no tolerance applied. Items the borrower could have shopped for, but did not, are disclosed in Section B of the CD with a 10% tolerance applied regardless of where they were disclosed on the LE. When using a provider that was on the Written List of Providers, it is considered the borrower did not shop. Correspondents may be required to provide a corrected CD for fees that are listed in the incorrect section.

WILL FLAGSTAR REQUIRE A SIGNATURE ON THE CD?

On CDs issued by Flagstar on broker/table funded transactions, there will not be a signature line for the borrower(s) to sign and there will be no requirement for a signature.



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On CDs issued by Correspondent, Flagstar will accept the version of the CD without the signature line. However, if the version of the disclosure being used has a signature line, Flagstar will only require the CD presented at consummation to be signed; other versions besides the consummation CD (, i.e. initial, pre-consummation or post-consummation) will not be required to be signed. Flagstar may from time to time at its discretion require additional evidence of receipt for disclosures without signatures, including but not limited to evidence of mailing when using the mailbox rule, electronic receipt, separate acknowledgment of receipt signed by borrower, etc. It is recommended that correspondents provide Flagstar with a disclosure history of all LEs and CDs given to the borrower(s) to help Post Closing Compliance Review, identify the correct documents for testing and expedite your loan review.

WHO SHOULD ISSUE THE SELLER'S CD ON PURCHASE TRANSACTIONS?

The settlement agent is required to provide the seller with the disclosure reflecting the actual terms of the seller's transaction. If a separate Seller's CD is used, the settlement agent must issue to the sellers and provide a copy to the creditor.

IF THERE ARE MULTIPLE BORROWERS ON THE LOAN, DO THEY ALL HAVE TO RECEIVE THE CD?

If the transaction is not rescindable under Reg Z, the CD should be given to the principal borrower (i.e. not a co-signer or guarantor). However, if the transaction is rescindable under 1026.23, the CD must be given separately to each borrower who has a right to rescind. For broker/table funded loans where originator wants CDs to be delivered electronically, separate electronic consent is required from each borrower even if they are using the same email address.

HOW WILL OWNER'S TITLE INSURANCE CHARGES BE SHOWN ON THE CD?

Under TRID there are specific requirements for disclosing the full cost of the lender's title policy, therefore any simultaneous issuance discount needs to be reflected in the owner's title policy amount as follows:

- Lender's - disclose full cost of lender's policy (without discount);
- Owner's - take the simultaneous issuance cost of both policies and subtract the full lender's premium, i.e. net incremental cost of purchasing the owner's policy.

IF IT IS DISCOVERED THAT TERMS AND COSTS CHANGED AFTER CONSUMMATION, SHOULD CORRECTED CD BE ISSUED?

Yes, in some circumstances. On Broker transactions, Flagstar will be responsible for issuing. Correspondents should issue corrected CDs under the following circumstances:

- Creditors must provide a corrected CD if an event in connection with the settlement occurs during the 30-calendar-day period after consummation that causes the CD to become inaccurate and results in a change to an amount paid by the borrower from what was previously disclosed. The creditor must deliver or place in the mail a corrected CD no later than 30 calendar days after receiving information sufficient to establish that such an event has occurred.
- Creditors also must provide a revised CD to correct non-numerical clerical errors and document refunds for tolerance violations no later than 60 calendar days after consummation. An error is clerical if it does not affect a numerical disclosure and does not affect the timing, delivery, or other requirements required by the rule.

HOW WILL FLAGSTAR DISCLOSE CREDITS ON THE CD?

On broker/table funded transactions, Flagstar will disclose seller and other credits as lump sums and will not reduce APR. Conversely, seller and other paid fees may reduce APR but must be have supporting documentation (e.g. purchase agreement language), otherwise these will be treated as lump sum credits as described above. Lender credits will be itemized in the Paid by Other column and will reduce APR.



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On correspondent transactions, lender credits will be tested as 0% tolerance and cannot be lowered as a result in reduction of overall fees.

ADDITIONAL RESOURCES

Additional documentation is located on the CFPB and Flagstar Wholesale website that can assist you in remaining compliant.